Session 2.4: Module 2 Review: Choosing the Right Strategy



THE SITUATION

FreshBox: three strategies, one monthly loss

FreshBox sends university students weekly meal-kit boxes with fresh vegetables from local farms. It keeps $3.00 from each box. Sora is its founder.

ONE MONTH	VALUE
Students who signed up	**3,000**
Local farms that supply vegetables	**25**
Boxes ordered per week	**900**
Revenue (900 x $3.00 x 4 weeks)	**$10,800**
Monthly costs	**$12,000**
Monthly loss	**$1,200**

Sora's question

Each Module 2 strategy suggests a different plan.

Which strategy should FreshBox use first?

THE SKILL IN ONE PARAGRAPH

How do you choose the right strategy?

Diagnose the business problem first, then use the Module 2 strategy that fits it. Check the evidence for that strategy's key condition, compare the options with the same numbers, and start with one strategy while planning the next.

Use this skill whenever a business has several possible plans and limited time and money.

Three strategies, three different problems

STRATEGY	PROBLEM IT SOLVES	KEY CONDITION	NUMBER TO WATCH
Data Feedback Loop (2.1)	We do not know what customers really want	Strong signals and permission	Churn or repeat rate
Asymmetric Pricing (2.2)	Two groups need each other: who pays?	One side price sensitive; the other gains money	Money-side revenue vs. subsidy cost
Up-Sell and Cross-Sell (2.3)	Many users, but they spend too little	A higher tier or related product customers value	Conversion and attach rate

Diagnosis and condition

Diagnosis

Naming the real problem before choosing a solution.

Example: "Students stop ordering after two weeks" is a diagnosis; "we need more ads" is a solution.

Condition

Something that must be true for a strategy to work.

Example: up-selling needs a higher tier that customers value.

Time to result and sequence

Time to result

How long a plan takes before it changes the numbers.

Example: a data feedback loop may need three months of signals.

Sequence

The order in which a business uses strategies.

Example: first up-sell to cover costs, then a data loop to learn which premium items students want.

Rule 1: Name the problem before you choose a strategy

Write the problem in one sentence that does not include a solution.

WHAT IT LOOKS LIKE

Example

"Students order a box for two weeks and then stop" points to a customer-knowledge problem (Session 2.1), not a pricing problem.

WHAT TO AVOID

Common mistake

Starting with a favorite strategy ("let's add a premium box") before knowing what is wrong.

Rule 2: Check the strategy's conditions with evidence

Each strategy works only when its key condition is true.

WHAT IT LOOKS LIKE

Example

Asymmetric pricing needs a side that is not price sensitive. If most farms would leave over a $200 fee, the condition is weak.

WHAT TO AVOID

Common mistake

Using a strategy's words without its conditions, such as calling a business a "platform" when it does not connect two groups.

Rule 3: Compare the options with the same numbers

For each option: the change in the monthly result, the time to result, and the main risk.

WHAT IT LOOKS LIKE

Example

One plan adds $1,800 a month but needs three months; another adds $3,240 a month and can start next week.

WHAT TO AVOID

Common mistake

Comparing one option's best case with another option's worst case.

Rule 4: Start with one strategy and plan the next

Fix the most urgent problem first, then plan which strategy comes next and why.

WHAT IT LOOKS LIKE

Example

First up-sell and cross-sell to stop the monthly loss, then use a data feedback loop to learn which premium items students want.

WHAT TO AVOID

Common mistake

Trying all three strategies at once, so the team cannot tell which one worked.

Spotify: three strategies that fit together

What happened

Spotify keeps a free tier paid for by advertisers, uses listening signals to build personal playlists, and up-sells free listeners to Premium, Duo, and Family plans.

Why it is good

- Each strategy fits a clear problem: who pays, what listeners want, and how to earn more per listener. **(Rule 1)**
- The free tier creates the audience and data the other strategies need. **(Rule 4)**
- Premium gives clear extra value: no ads and offline listening. **(Rule 2)**

GOOD EXAMPLE 2

LinkedIn

What happened

Members create profiles for free. Recruiters and companies pay to search and contact members, and some members pay for Premium features.

Why it is good

- Members are the subsidy side recruiters come for, so they stay free. **(Rule 2)**
- Recruiters gain the most from the match, so they are the main money side.
- Premium up-sells members who need more, such as job seekers, without charging all members. **(Rule 1)**

BAD EXAMPLE 1

WeWork's 2019 IPO

What happened

WeWork rented office space on long leases and rented desks to members on short contracts. Before its planned 2019 stock listing (IPO), it called itself a technology platform and was valued at about $47 billion by private investors. When its filings were published, investors questioned that description, and WeWork withdrew the IPO in September 2019.

Why it is bad

- It used platform words but did not mainly connect two groups who need each other. **(Rule 2)**
- The numbers showed a property-rental business with large losses. **(Rule 3)**
- Investors who checked the evidence lost trust, and its value fell sharply.

BAD EXAMPLE 2

MoviePass

What happened

In 2017, MoviePass cut its price to $9.95 a month for up to one movie a day, while paying theaters close to the full ticket price for each movie. Its managers hoped to earn money later from subscriber data. Losses grew with every movie watched, and the service shut down in 2019.

Why it is bad

- A huge subsidy with no money side to cover it (Session 2.2, Rule 4).
- The data plan was only a hope, not a proven feedback loop. **(Rule 2)**
- One ticket could cost more than a whole month's fee. **(Rule 3)**

Tool 1: Three diagnosis questions

1

Do we know what customers want?

If not: Data Feedback Loop

2

Do we connect two groups and need to decide who pays?

If yes: Asymmetric Pricing

3

Do many customers use the product but spend too little?

If yes: Up-Sell and Cross-Sell

Tool 2: Option comparison table

BAKERY APP OPTION	MONTHLY CHANGE	TIME TO RESULT	MAIN RISK
Cake up-sell	+$600	2 weeks	Customers may not want cake
Data loop on favorite breads	+$900	3 months	Customers may refuse permission

Write the same three things for every option before you choose.

Tool 3: Trade-off and decision rule (from Session 2.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Match the problem to the strategy

- (a) A fitness app has 8,000 free users, but only 200 pay.
- (b) A campus marketplace connects buyers and sellers and does not know which side to charge.
- (c) A news app gets many clicks but does not know which articles make readers come back.
- (d) A bakery app wants each customer to spend more on each order.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Business [letter]: The problem is [problem in one sentence, with no solution].
The best strategy is [strategy], because [the key condition is true].

WORKED EXAMPLE: MUSIC SCHOOL APP

The problem is that students quit after one month and the school does not know why.
The best strategy is the Data Feedback Loop, because the school can collect strong signals, such as missed lessons and practice time, with students' permission.

Each problem points to one strategy

BUSINESS	STRATEGY	WHY
(a) Fitness app	Up-Sell and Cross-Sell	Many users, few paying
(b) Marketplace	Asymmetric Pricing	Two groups; the question is who pays
(c) News app	Data Feedback Loop	Does not know which signals show a real need
(d) Bakery app	Up-Sell and Cross-Sell	More spending per order: a drink or a larger size

Diagnose and plan one strategy: PetPal

Scenario

PetPal connects pet owners with student pet sitters. It has **1,000 pet owners**; only **300** book a second time.

PetPal does not know why owners do not come back. Sitters are happy and many are waiting for bookings.

Your steps

- **Step 1:** Repeat booking rate = 300 / 1,000 x 100 = _____ %.
- **Step 2:** Use Tool 1 to choose a strategy, then fill in the template on the next slide.

Use the template

TEMPLATE

Problem: [one sentence, no solution]
Strategy: [one Module 2 strategy]
Evidence the condition is met: [what we know or can collect]
First action: [one action, tested on a test group]
Measure: [one number and a target]

WORKED EXAMPLE: LAUNDRY PICKUP APP

Problem: many students use the free pickup, but few pay for ironing.
Strategy: Up-Sell and Cross-Sell.
Evidence the condition is met: 40% of students say ironed shirts would save them time before interviews.
First action: offer ironing for $1.00 per shirt at checkout to half of the students.
Measure: attach rate of the ironing offer; target 15%.

Repeat rate is 30%: use the Data Feedback Loop

- Repeat booking rate = 300 / 1,000 x 100 = **30%**.
- PetPal does not know why owners leave (Tool 1, question 1). Pricing is not the main problem: sitters are happy and waiting.
- Collect strong signals with permission: owner ratings, photos the sitter sent, whether the owner booked again.
- Test one change on a test group, such as a photo update during each visit.
- Measure the repeat booking rate, with a target such as 30% to 40%.

Choose FreshBox's first strategy

OPTION A

Option A: Data Feedback Loop

Collect which recipes students cook and rate, with permission. Expect orders to rise from 900 to **1,050 boxes a week**, after about **3 months**.

OPTION B

Option B: Asymmetric Pricing

Charge each farm **$200 a month**. In a survey, **40% of farms** said they would leave if charged.

OPTION C

Option C: Up-Sell and Cross-Sell

Premium box: FreshBox keeps **$5.00** instead of $3.00; **20%** of boxes. Spice kit: keeps **$2.00**; **25%** of boxes. Starts next week.

Calculate before you decide (Tool 2; 4 weeks per month)

- Option A: extra boxes per week = 1,050 - 900 = ____; extra revenue = extra boxes x $3.00 x 4 = $_____
- Option B: farms that stay = 25 x 60% = ____; revenue = farms x $200 = $_____
- Option C up-sell: Premium boxes per week = 900 x 20% = ____; extra = Premium boxes x $2.00 x 4 = $_____
- Option C cross-sell: spice kits per week = 900 x 25% = ____; extra = kits x $2.00 x 4 = $_____
- Then fill in a comparison table: monthly change, time to result, and main risk for each option.

Write a 3-bullet memo to the CEO (Tool 3)

TEMPLATE

To: [CEO name], [company]
1. Decision and evidence: We should start with [option] because [the rule it follows] and [one number from your calculation]. Next, we will use [second strategy] because [reason].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next 60 days we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

CampusPrint: data loop or binding cross-sell?

To: Ben Cho, CEO, CampusPrint

1. Decision and evidence: We should start with the binding cross-sell because it fits a clear need before exams (Rule 1) and 30% of 2,000 orders x $1.00 = $600 a month covers our $500 loss. Next, we will use a data feedback loop to learn which students print most.

2. Biggest risk and trade-off: The weakest point is that binding sales may drop after exams. We give up a slower, deeper data plan for now to stop the monthly loss quickly.

3. Next step and decision rule: In the next 60 days we will offer binding at checkout to half of our users and measure the attach rate. We will change this decision if it is below 20%.

Start with C, plan A next, avoid B

OPTION	MONTHLY CHANGE	TIME	MAIN RISK
A: Data loop	+$1,800 (150 x $3.00 x 4)	About 3 months	Slow; students may refuse permission
B: Charge farms	$3,000 (15 x $200)	Next month	10 farms leave; fewer vegetables, fewer boxes
C: Up-sell + cross-sell	+$3,240 ($1,440 + $1,800)	Next week	Fewer students may choose Premium

A strong memo starts with C to cover the $1,200 loss quickly, plans A next (Rule 4), and explains that farms supply the food students come for, so they are a poor money side.

SUCCESS CHECK

Can you do these three things?

01

Match a business problem to the Module 2 strategy that fits it.

02

Check a strategy's key condition with evidence.

03

Compare options with the same numbers and choose which strategy to use first.

REFERENCES

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